

# Peloton

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A. Y. 2025 - 2026

Digital Transformation

# Innovation Audit: System-Level Misalignment

Across people, processes, product, and strategy

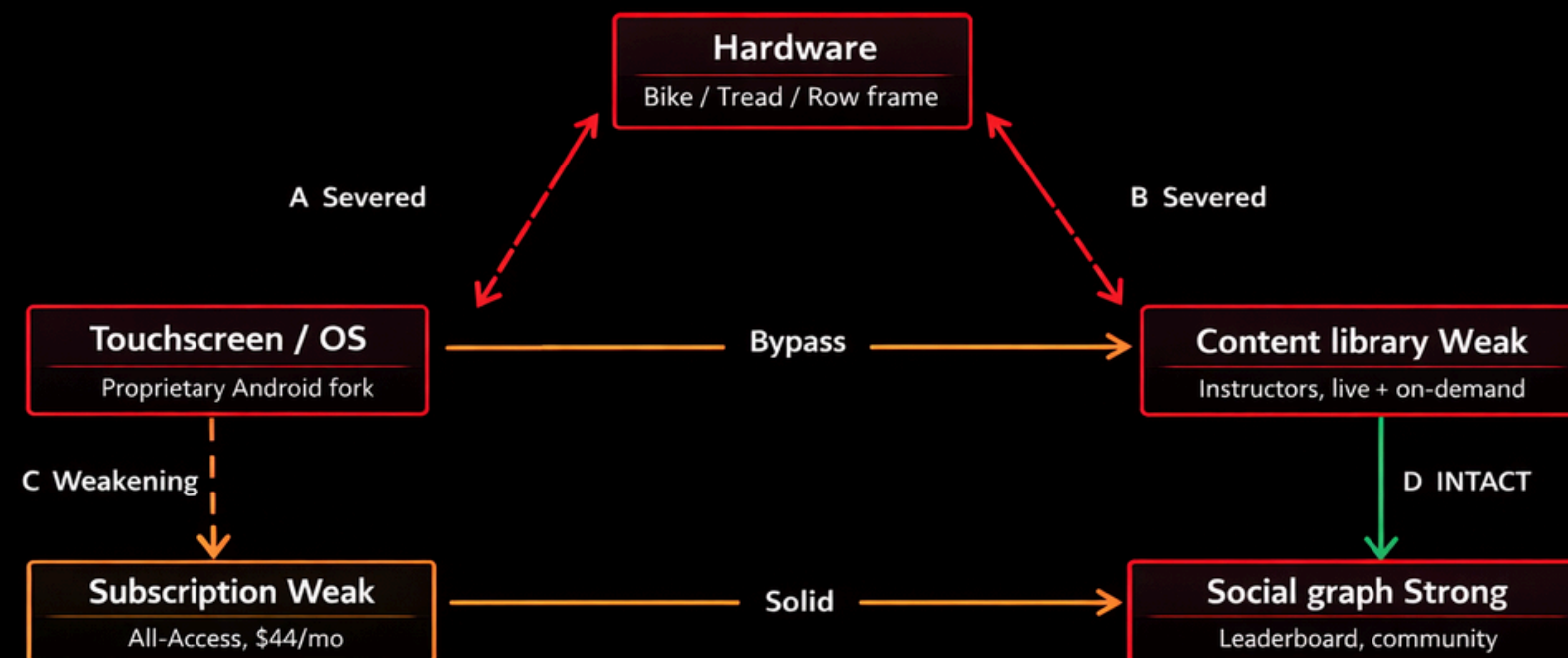


*Peloton is not failing to innovate — it is stuck between a product model and a platform model.*

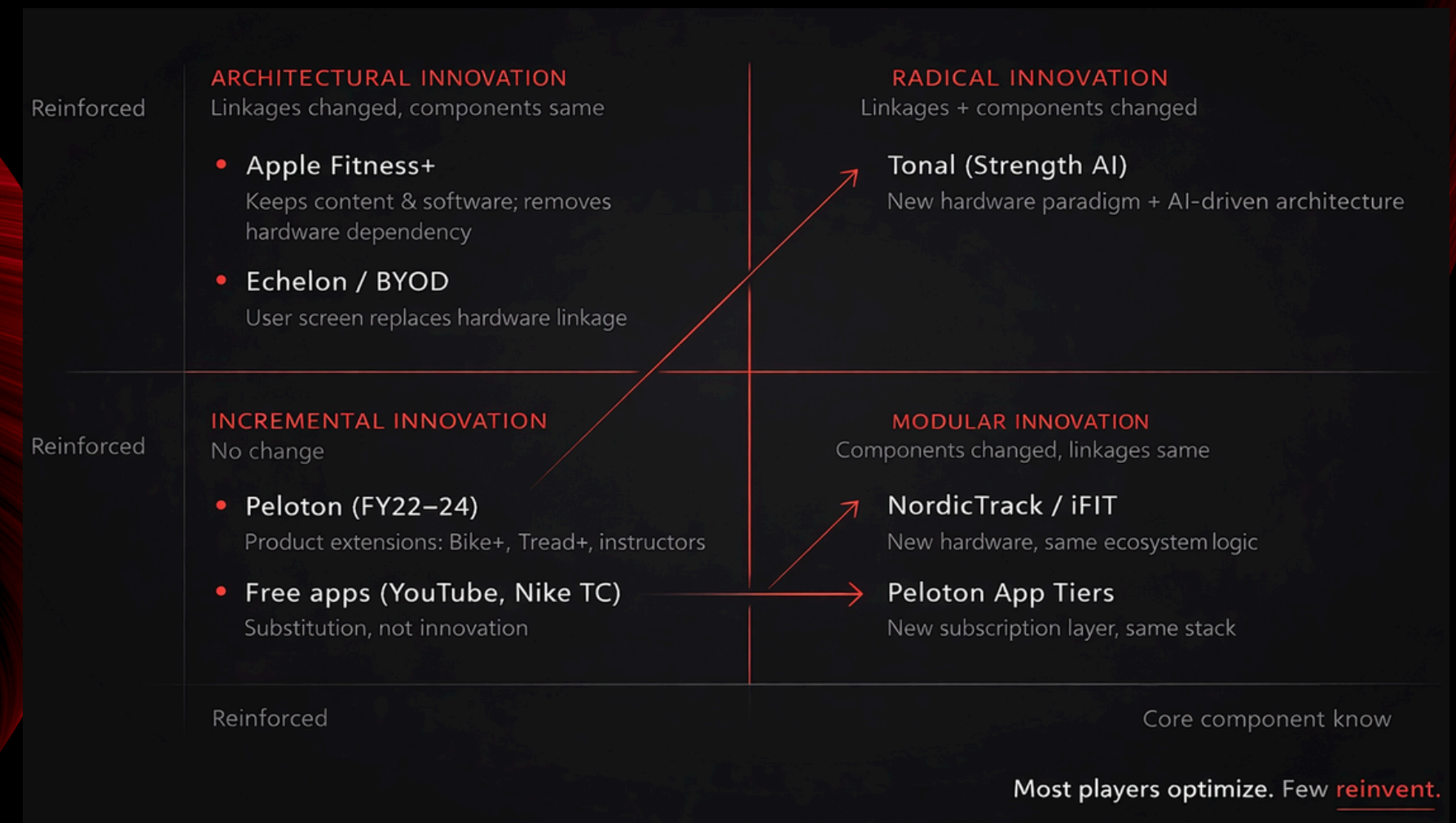
# Peloton's advantage

Peloton's advantage depended on linkages, but incumbents often miss when those linkages break

Peloton's dominant design — five components, six critical linkages



| Linkage | Connects                       | Cut by                         | Method                   |
|---------|--------------------------------|--------------------------------|--------------------------|
| A       | Hardware ➡ screen              | Echelon / Apple                | BYOD; no hw needed       |
| B       | Hardware ➡ content             | Apple Fitness+                 | Content runs on Watch/TV |
| C       | Screen ➡ subscription          | iFIT / Peloton app tiers       | Sub works cross-device   |
| D       | Content ➡ social graph         | Not cut (still Peloton's moat) | Community is defensible  |
| E/F     | Screen ➡ content, sub ➡ social | Free apps / YouTube            | Both removed entirely    |



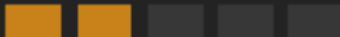
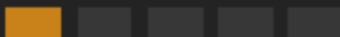
The issue is not the components alone, but the weakening of the linkages between them

**Christensen:** Peloton missed the shift from sustaining to platform competition. Now executing architectural + business model innovation for ecosystem expansion

# Model

## The model must shift from closed product to open platform

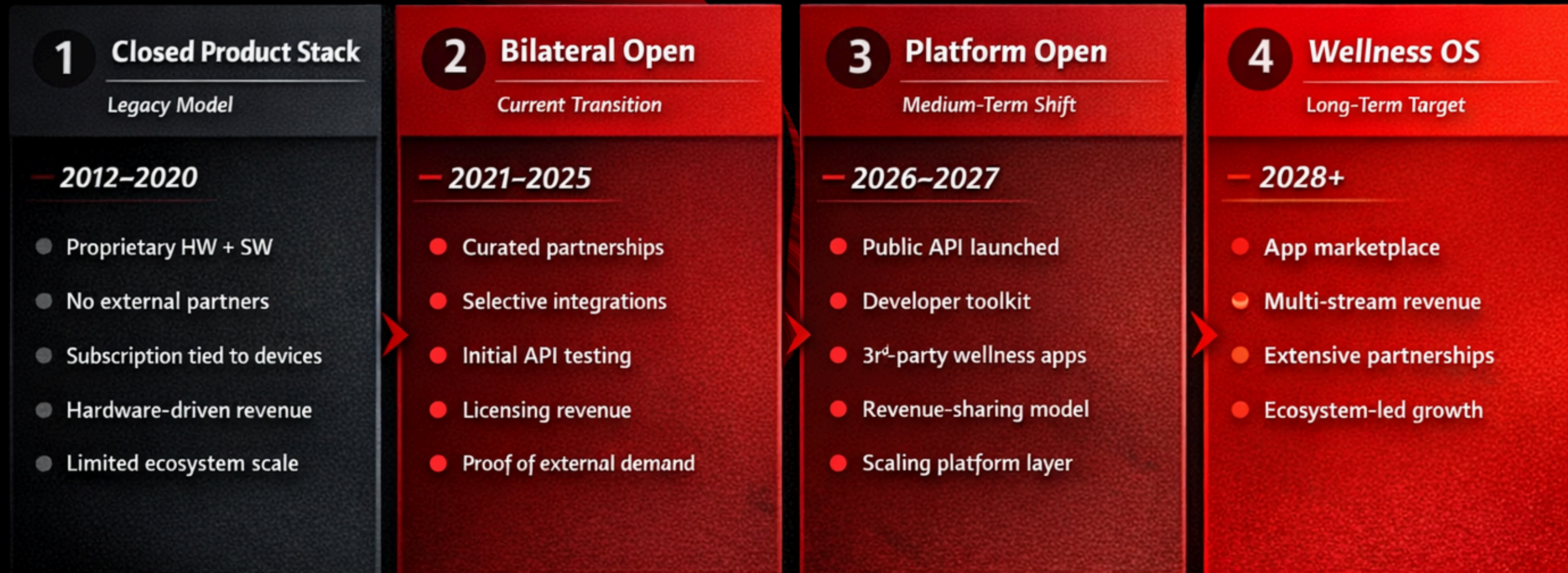
Christensen + Henderson & Clark + Chesbrough synthesised.

| Dimension              | Current — 2025                                                                                                               | → | Target — 2027–28                                                                                                                        |
|------------------------|------------------------------------------------------------------------------------------------------------------------------|---|-----------------------------------------------------------------------------------------------------------------------------------------|
| <b>Innovation type</b> | <br>Sustaining + architectural            | › | <br>+ disruptive (lower-tier) + wellness             |
| <b>Openness</b>        | <br>Bilateral deals — no public API       | › | <br>Public API + dev SDK + revenue-share             |
| <b>Revenue model</b>   | <br>~90% sub+HW, ~5% licensing          | › | <br>~60% sub · ~20% platform · ~15% HW             |
| <b>Platform layer</b>  | <br>ChatGPT oAuth — embryonic only      | › | <br>Peloton OS: app marketplace + 3rd-party builds |
| <b>Market served</b>   | <br>Premium HW buyers + app subscribers | › | <br>Premium + mid-market + B2B + clinical          |

*So the answer is not simply better hardware or more content. The model itself must move toward selective openness, service-led growth, and platform participation*

# Four Stage Transformation Arc

From closed platform to Wellness OS



**Critical Move:** Publish a public API and accept some subscription loss to achieve broader platform scale.

# A Business Optimizing for Decline

## STRATEGIC DIAGNOSIS

**-97%**

Stock from peak  
\$171 → \$3.71

**↓ \$4.1B - \$2.5B**

Revenue FY21 → FY25  
4 consecutive years of decline

**↑ 33% - 51%**

Gross margin FY23 → FY25  
\$100M cost cuts, not growth

**A 4 CEOS**

In under 5 years  
Stern is #4 since 2021

## THE PROOF POINT: OCTOBER 2025 HARDWARE REFRESH

### The Plan

Let existing owners attach cameras to legacy bikes for AI integration – a cost-effective upgrade path.

**Abandoned before launch**

### What Actually Shipped

5 new machines with major price hikes. Tread+ at \$6,695. Subscription +\$5/mo. No trade-in program. Users found self-install workarounds.

**User backlash + investor revolt**

### The Market's Verdict

Stock -20% after Q2 earnings. Down 60% since October. Revenue missed during holiday quarter. Morgan Stanley, BofA cut targets

**\$3.71 - down 97% from peak**

The signal within the noise: 46% of users engaged with Peloton IQ's AI features. New buyer acquisition met targets. Existing users who spent bought into new categories (bike owners buying treadmills). Churn lower than feared despite price hikes. The value is in software, data, and community — not in selling more expensive bikes

# Where the Value Actually Lives

## Platform opportunities

Three emerging growth vectors the current hardware-first model cannot capture

### AI & Personalization

**46%**

of users engaged with Peloton IQ

CEO Stern's Jan 2026 letter positions AI as the shift from **measuring activity to actively coaching** what to do next. Peloton IQ analyzes workout history + third-party wearable data (Garmin, Fitbit, Apple Health) for real-time form correction.

**Pipeline → platform bridge:** AI transforms workout data into a service layer independent of hardware.

### Healthspan & GLP-1 Wave

**\$7T+**

global wellness economy (CEO letter)

GLP-1 drugs (Ozempic, Wegovy) require resistance training to preserve muscle mass — Peloton is repositioning as the essential partner with 2M+ members already doing strength content.

#### **Wellness partnerships:**

HSS (injury recovery) • Twin Health (metabolic) • RESPIN (women's health) • Breathwrk acquired (sleep, stress, HRV)

### Commercial & B2B

**96M**

US gym customers in 2024

43.4% cite treadmill as #1 equipment. Commercial unit grew 10% YoY (Q2 FY26). Precor provides distribution in 60 countries — currently limited to hotels (Hilton, Hyatt).

**March 2026:** Commercial Series announced — first gym-grade Bike & Tread. Shipping late 2026 in 6 countries.

***“Gym CEOs are requesting Peloton by name.”***

**Implication:** All three vectors point to the same structural shift – from selling hardware to monetizing data, relationships, and wellness outcomes

# From Hardware to Health Ecosystem

## Transformation Vision

### The Strategic Pivot

- **Logic:** Move from high-friction logistics (60kg bikes) to zero-marginal-cost scaling (Software/AI).
- **The Gap:** Subscription Margins (71.9%) vs. Hardware Margins (17.3%).
- **Goal:** Improve LTV/CAC ratio through a scalable digital ecosystem.

### The Future Model

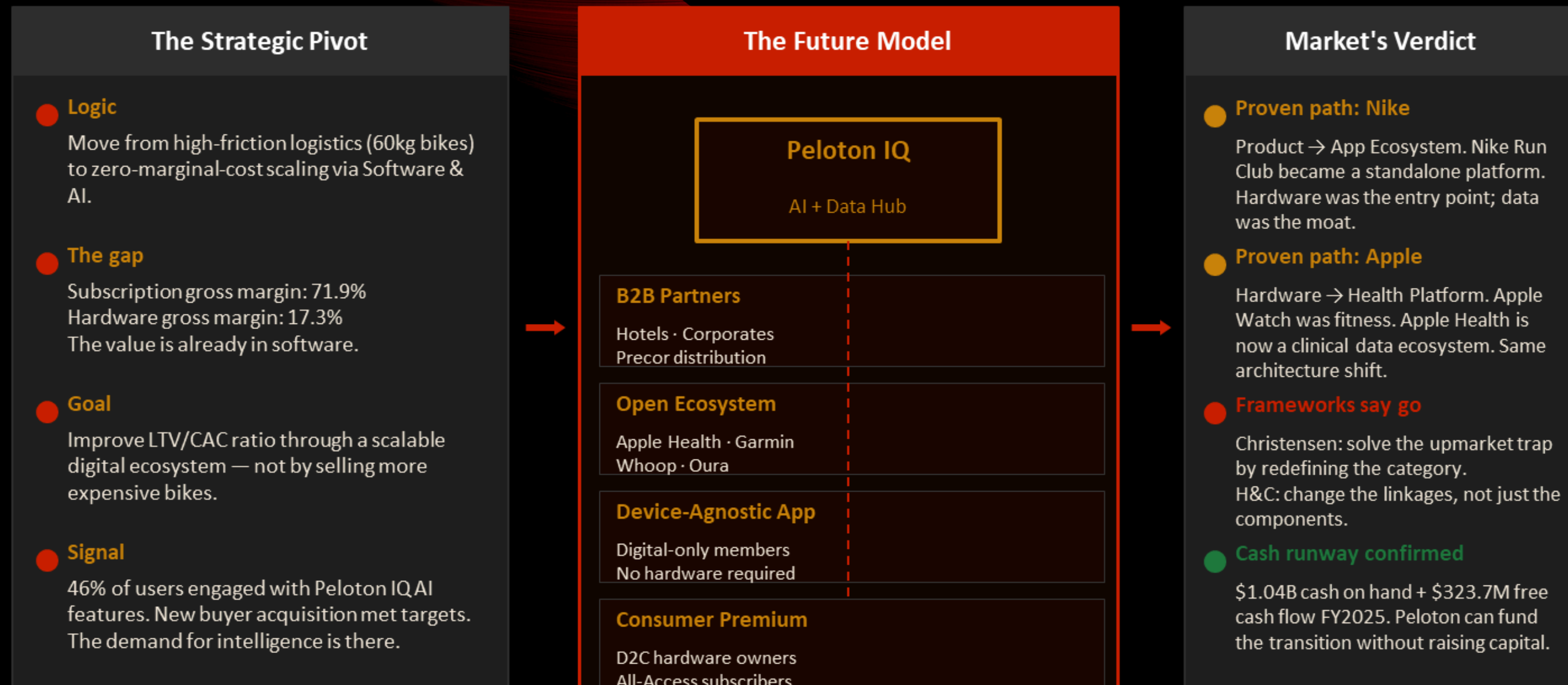
- **Graphic:** A "Value Network" diagram with **Peloton IQ** at the hub, connecting to:
  - B2B Partners (Hotels/Corporates)
  - Open Ecosystem (Apple Health/Oura)
  - Device-Agnostic App (Digital-only members)

### The Market's Verdict

- **Proven Path:** Like Nike (Product → App Ecosystem) and Apple (Hardware → Health Platform).
- **Frameworks:** Applying Christensen (Solving the Upmarket Trap) and Henderson-Clark (Architectural Reconfiguration).

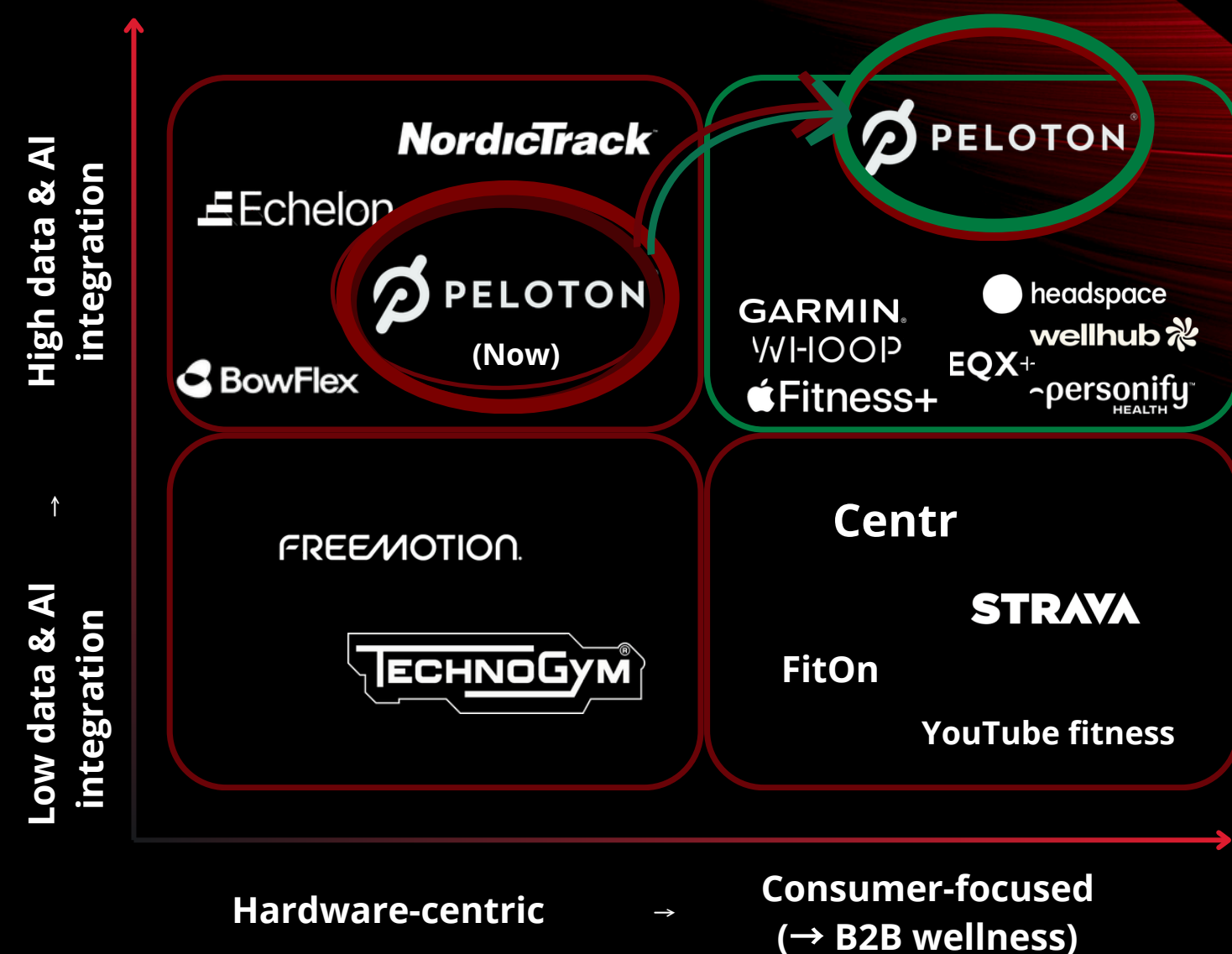
# From Hardware to Health Ecosystem

## Transformation Vision



*The transformation is not a pivot away from what Peloton does well — it is an architectural extension of it, using AI and data to serve markets hardware alone cannot reach*

# Competitive Landscape



## White Space

Peloton → AI-driven, data-powered, B2B-enabled wellness platform

| Before Transformation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | After Transformation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>• <b>Connected Fitness Competitors</b> <ul style="list-style-type: none"> <li>• NordicTrack / iFIT</li> <li>• Echelon Fitness</li> <li>• Bowflex</li> <li>• Technogym</li> </ul> </li> <li>• <b>Wearable &amp; Data-Driven Ecosystems</b> <ul style="list-style-type: none"> <li>• Apple Fitness+</li> <li>• Whoop</li> <li>• Garmin</li> </ul> </li> <li>• <b>Digital-Only Fitness Apps</b> <ul style="list-style-type: none"> <li>• FitOn</li> <li>• Centr</li> <li>• Sweat</li> <li>• Strava</li> <li>• YouTube Fitness</li> </ul> </li> </ul> | <ul style="list-style-type: none"> <li>• <b>Direct Competitors</b> <ul style="list-style-type: none"> <li>• Wellhub</li> <li>• Headspace</li> <li>• Teladoc</li> <li>• Omada</li> </ul> </li> <li>• <b>Ecosystem / Payer Competitors</b> <ul style="list-style-type: none"> <li>• UnitedHealthcare</li> <li>• Aetna</li> <li>• Cigna</li> <li>• Kaiser</li> </ul> </li> <li>• <b>Wearable / Data Ecosystem Player</b> <ul style="list-style-type: none"> <li>• Oura</li> </ul> </li> <li>• <b>Adjacent Healthcare Platform Player</b> <ul style="list-style-type: none"> <li>• One Medical</li> </ul> </li> </ul> |

# 5-Year Roadmap

## Vision:

Transition from a hardware-led subscription business to a data-driven corporate wellness platform within 5 years

## Starting Point (Phase 0 – 2023):

App relaunch already initiated the shift toward a device-agnostic ecosystem

### Phase 1: Foundation (Y1-Y2)

#### Primary Actions:

- Make the App 100% "device-agnostic"
- Launch "Peloton for Business" pilots in 3-5 selected corporate sectors (e.g. hospitality, finance)

#### Capability Management:

- **Build:** "Peloton IQ" (AI personalization v1) and establish a dedicated B2B sales team with an independent P&L
- **Partner:** Leverage Precor for commercial installations (gyms and hotels) and maintenance

#### Key Milestones (KPIs):

- 5+ Enterprise pilot contracts signed
- 15% YoY growth in App Monthly Active Users (non-hardware users)
- Subscription gross margin maintained  $\geq 70\%$

# 5-Year Roadmap

Y3 – Y4 – Y5

## Phase 2: Expansion (Y3–Y4)

### Actions:

- Scale B2B globally (100+ companies)
- Integrate biometric data from 3rd-party wearables (Apple Watch, Whoop) via Open APIs
- Pilot insurer subsidy programs

### Capability Management:

- **Build:** Population health analytics dashboards for HR
- **Partner:** Insurance companies and wellness aggregators

### Key Milestones (KPIs):

- 100+ active contracts (~\$500k x deal)
- Integration with wearable platforms
- Balance sheet approaches breakeven / positive EBITDA

## Phase 3: Maturity (Y5)

### Actions:

- Hardware becomes purely supplementary
- Full data monetization (privacy-by-design) providing anonymized insights to employers / insurers

### Capability Management:

- **Build:** Consolidate data governance infrastructure
- **Partner:** Major cloud providers (AWS/Azure) and healthcare systems

### Key Milestones (KPIs):

- ~\$900M B2B revenue (capturing 1.4% of global wellness mkt)
- Hardware drops to <20% of total revenue
- B2B accounts for ≥35% of total revenue

# Revenue composition

FY2025 — Fiscal Year  
Ended June 30, 2025

\$2,490.8M

Total Revenue FY2025

\$(118.9M)

Net Loss FY2025

-7,8%

Revenue Change vs FY2024

## Connected Fitness Products (Hardware)

\$817.1M · 32.8% of revenue



▼ Structural decline: -27.7% in 2 years

\$1,130.2M → \$991.7M → \$817.1M

## Subscription Revenue

\$1,673.7M · 67.2% of revenue



◆ Stable core asset — the true strategic moat

\$1,670.1M → \$1,708.7M → \$1,673.7M

# The Corporate Wellness Market Opportunity

**\$53.5B**

Global Market 2024

**\$63.9B**

Projected by 2030

**\$24.8B**

US Market by 2030

**53.3%**

Enterprise Share

## Who are the customers?

- Large organizations
- Medium-sized enterprises

## What services are they buying?

Health Risk Assessment is the largest segment at \$11.19B. Stress Management is the fastest-growing need

\$1,039.5M in cash on hand and \$323.7M in Free Cash Flow generated in FY2025

The company has the resources to support the investment

# Risks & Trade-offs

## Risk 1: Brand dilution

Expanding too fast into mass/B2B channels could weaken Peloton's premium image.

Likelihood: Medium

Impact: High

## Risk 2: B2B capability gap

Peloton still lacks a fully mature enterprise sales and account-management model

Likelihood: High

Impact: High

## Risk 3: Data privacy & regulation

Health and wellness data create legal, reputational, and operational constraints

Likelihood: Medium-High

Impact: Very High

## Main trade-off:

Peloton must sacrifice some short-term hardware growth to build stronger recurring subscription and B2B revenues, but it cannot move away from hardware too quickly because hardware still supports the ecosystem and brand.

# Organizational Implications & Mitigation

## Brand & Customer Experience

Peloton must protect its premium identity while expanding into broader B2B and commercial channels.

The risk is that faster expansion makes the brand feel less exclusive and less differentiated

+

### Mitigation:

- keep premium member experience distinct
- maintain high-quality content and instructors
- separate premium D2C positioning from broader commercial offers

## Commercial Capabilities

Peloton needs capabilities it has not fully developed yet, especially in B2B sales, enterprise account management, and long-cycle partnerships.

This is one of the biggest execution gaps in the transformation

+

### Mitigation:

- scale only a few B2B verticals first
- build a dedicated enterprise sales team
- use Precor and selected partners for distribution and service

## Data Governance & Compliance

As Peloton moves closer to wellness and health-related services, data privacy becomes a major operational constraint.

The company cannot base growth on aggressive health-data monetization

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### Mitigation:

- strengthen consent and privacy controls
- use data mainly for personalization and engagement
- develop healthcare use cases only through external partners

# Conclusion

## Why the transformation makes sense

Peloton can no longer rely mainly on hardware.

Subscription is already the stronger revenue engine, while hardware is structurally weaker.

## What Peloton should become

Peloton should evolve into a broader subscription-based wellness ecosystem, using device-agnostic access, AI personalization, and selective B2B expansion through assets it already has, especially Precor and Peloton for Business.

## What will decide success

This works only if Peloton:

- protects its premium brand
- builds real B2B/commercial capabilities
- keeps strong privacy and data governance
- scales gradually, not aggressively

## Conclusion

The transformation is credible, but only with gradual execution, selective partnerships, and tighter control of brand, capabilities, and data.

# Strategic Assumptions

Explicit assumptions underlying the transformation — each must hold for the strategy to succeed

A1

## The social graph moat holds for 3–5 years

Linkage D — the content-to-community connection — remains uncut. Competitors can build leaderboard features; they cannot replicate a decade of instructor loyalty and shared workout history. Assumed: churn does not accelerate beyond current –6% YoY trajectory.

△ If subscriber decline accelerates, network effects erode and the moat shrinks faster than the platform can be built.

A3

## Corporate wellness budgets remain intact post-2025

The \$53.5B corporate wellness market (Grand View Research, 2025) continues growing at projected CAGR. Enterprise buyers prioritise fitness and health ROI. Assumed: macroeconomic conditions do not trigger widespread corporate wellness budget cuts.

△ Recession or cost-cutting cycles reduce enterprise willingness to sign \$500k+ wellness contracts.

A5

## Subscription margin (71.9%) holds as the platform layer is built

The transition from hardware-led to subscription-led revenue does not require significant content investment that compresses margins. Assumed: Peloton IQ AI features scale without proportional cost increases; data infrastructure is built on existing cloud spend.

△ Platform buildout requires heavy engineering and content spend, compressing the 71.9% subscription margin that makes the model attractive.

A2

## GLP-1 drug adoption drives demand for structured fitness

Ozempic/Wegovy users require resistance training to preserve muscle mass. Peloton is repositioning as the essential complement. Assumed: GLP-1 adoption continues to rise and Peloton successfully captures this as a positioning narrative before competitors do.

△ GLP-1 adoption stalls, or Apple Fitness+ / Tonal captures the GLP-1 companion narrative first.

A4

## Peloton can build B2B capabilities without a brand dilution event

Expansion into gyms, hotels, and corporates via Precor and Commercial Series is managed such that the premium D2C brand is kept distinct. Assumed: pricing, positioning, and channel separation prevent mass-market perception drift.

△ Gym-grade hardware associated with budget fitness erodes the premium consumer brand. Lululemon partnership becomes less attractive.

A6

## Health data regulation does not outpace Peloton's compliance capability

HIPAA, GDPR, and emerging AI health regulation evolve at a pace Peloton can match with its current legal and data governance teams, supplemented by external partners. Assumed: no sudden regulatory event blocks biometric data monetisation.

△ EU AI Act or US health data legislation creates a hard block on the data monetisation layer

△ If any two of A1, A2, A3 fail simultaneously, the transformation thesis requires material revision.

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# Thank you